Communication of Acceptance

When agreement reaches the person who made the offer

You offer to sell a bicycle for £80. The buyer decides to accept, but tells nobody. Have you reached an agreement? Usually, an internal decision is insufficient: acceptance must be communicated to the person who made the offer.

This guide explains the ordinary communication rule, acceptance by telex, and why an offeror cannot simply make another person's silence count as agreement. It concerns English contract law and is written for English students with no previous legal knowledge.

1 Three terms to recognise

TERM	PLAIN ENGLISH MEANING
Offeror	The person making the offer.
Offeree	The person receiving the offer.
Acceptance	Agreement to the offer's terms; a proposed change may instead be a counter-offer.

The ordinary direction of communication is from the **offeree** back to the **offeror**. An offer sent to the buyer is different from the buyer's acceptance reaching the seller. Keep these two messages separate.

2 A decision, a message and receipt

Decision: "I want to accept." **Dispatch:** sending the message. **Receipt:** the message reaches its intended recipient. These events may happen at different times. Which event makes acceptance effective depends on the applicable rule and the offer's instructions.

Communication need not always be a formal letter. Spoken words and conduct can convey agreement. Delivering exactly the goods ordered may express acceptance; privately preparing stock may not.

3 The rule has qualifications

Where the **postal rule** applies, properly posting an acceptance can make it effective before receipt. Check that post is a reasonable contemplated method and that a requirement of actual receipt has not excluded the rule.

An offer may also invite acceptance by performing a specified act and dispense with separate notice. For example, a reward may be accepted by completing the required performance. The terms determine what must be done.

Acceptance is only part of contract formation. An ordinary simple contract generally also requires consideration and intention to create legal relations; other requirements may apply.

Entores: Acceptance Received in London

Entores Ltd v Miles Far East Corporation
[1955] 2 QB 327 | Court of Appeal

4 Offer and reply across borders

Entores in London sent an offer by telex to the other party's agents in Amsterdam. The acceptance was transmitted back to London. Telex connected teleprinter machines, allowing a typed message to appear quickly at the receiving end.

After an alleged breach, Entores wanted to pursue proceedings against the overseas defendant. On the procedural ground relied upon, it mattered whether the contract had been made in England.

5 The decision and who won

The Court of Appeal treated telex as instantaneous communication. The postal rule did not apply. Acceptance became effective where it was received: London, rather than Amsterdam where the reply was sent.

Outcome: Entores succeeded on this procedural issue. The defendant's appeal was dismissed, and permission to serve proceedings outside the jurisdiction remained in place. This was not a final award of damages for the alleged breach.

6 Follow the two messages

STAGE	DIRECTION AND SIGNIFICANCE
Offer	London to Amsterdam: proposes the transaction.
Acceptance	Amsterdam to London: agrees to the proposal.
Receipt in London	The relevant point of formation under the telex rule.

Jurisdiction concerns a court's authority to hear a case. **Service** means formally providing legal proceedings to the defendant. **Serve out of the jurisdiction** means serving them outside the court's territorial jurisdiction, subject to the relevant procedural rules.

7 A modern telephone example

A seller in York offers a particular desk for £100 during a call. The buyer says "I accept", but a connection failure prevents the seller hearing the reply. Assume the buyer knows the call failed and there is no other acceptance or waiver.

The buyer should reconnect and communicate acceptance. Saying the words into a failed connection does not establish receipt in this example. If receipt fails through the offeror's own fault while the sender reasonably believes it succeeded, the analysis can differ.

The place of formation was relevant to the procedure in *Entores*. It is not a complete statement of every modern rule on courts' jurisdiction or the law governing a contract.

Felthouse: Silence Cannot Be Imposed

Felthouse v Bindley
(1862) 11 CB (NS) 869; 142 ER 1037 | Court of Common Pleas

8 The horse and the unanswered offer

An uncle offered to buy his nephew's horse. His letter said that if he heard nothing further, he would treat the horse as his at the proposed price. The nephew did not reply, but told the auctioneer, Bindley, to keep the horse out of the sale. Bindley mistakenly sold it.

9 Why did ownership matter?

The uncle sued the auctioneer for **conversion**, a civil wrong involving dealing with goods inconsistently with another person's rights. He needed to establish that the horse belonged to him when it was sold.

The court held that there had been no acceptance binding the nephew before the auction. The uncle could not impose a sale by requiring the nephew to reject his offer. The nephew's intention and instruction to the auctioneer had not communicated acceptance to the uncle.

Outcome: Bindley succeeded against the uncle's claim. The uncle had not acquired the horse through the alleged contract and could not recover on that basis. The decision did not establish that the auctioneer had acted properly in every respect.

10 A simple everyday comparison

SITUATION	HOW TO ANALYSE IT
"If you do not reply, you agree to buy my books."	The sender cannot unilaterally impose acceptance through silence.
You reply: "I accept your offer of these books for £20."	An express communication of acceptance, assuming the offer remains open.
You perform an act invited as acceptance.	Assess what the act conveys and whether the offer's requirements are met.

11 Silence and conduct are different

Not replying is different from taking actions that show agreement in context. A court may infer acceptance from a wider course of dealing; the basic lesson is that an offeror cannot manufacture agreement merely by announcing that silence counts.

The question is not simply whether the offeree wanted the bargain. Ask what legally relevant acceptance occurred before the event in dispute, and to whom it was communicated.

Practical Analysis and Legal English

12 Electronic messages require context

Email and messaging do not automatically follow the postal rule. Sending, delivery and reading are distinct. Terms, business practice and communication failures may affect the result.

In *Brinkibon Ltd v Stahag Stahl* [1983] 2 AC 34, the House of Lords confirmed the receipt approach to telex, while recognising that unusual communication circumstances require contextual analysis.

Outcome: Brinkibon's appeal failed. On the alleged contract considered, receipt occurred in Vienna; the grounds relied upon did not justify service outside the English jurisdiction.

13 A five-step method

Find the offer. Identify terms and acceptance instructions.
Identify the response. Is it acceptance, a counter-offer or silence?
Identify the method. Words, conduct, post or electronic message?
Find the effective event. Distinguish dispatch and receipt; check exceptions.
State the consequence. State when acceptance took effect; check other requirements.

14 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Communicate	Convey information to another person.
Dispatch / receipt	Sending / arrival at the receiving end.
Waiver	Giving up the right to insist on a requirement.
Jurisdiction / service	A court's authority / formal delivery of proceedings.

15 Check your understanding

1. Where was acceptance effective in *Entores*?
2. Did the uncle win against Bindley? Why?
3. Can the postal rule always be applied to email?
4. Can actions sometimes convey acceptance?

Answers: 1. London, where the telex was received. 2. No; he had not acquired the horse through a binding acceptance before the sale. 3. No; examine the applicable communication rules and context. 4. Yes, where the conduct objectively shows acceptance.

Authorities and source material

Entores [1955] 2 QB 327: judgment extracts. *Felthouse* (1862) 11 CB (NS) 869: case text and judicial extracts. *Brinkibon* [1983] 2 AC 34: judgment text.

Based on the supplied *Communication of Acceptance - Contract Law* lesson. Examples are simplified for beginners and concern English contract law.